

August 12, 2026

South Carolina Medicaid (Healthy Connections / SCDHHS)
Provider Appeals Department

RE: Formal Appeal of Claim Denial — Sylvia Mitchell (MRN MUSC5493106), Claim MUSC-20260404-28D8-1

Patient	Sylvia Mitchell (DOB 1948-10-21)
MRN	MUSC5493106
Member ID / Group	SCD721545870 / GRP-32400
Claim number	MUSC-20260404-28D8-1
Date of service	2026-04-04
Procedure billed	CPT 45378 — Colonoscopy, flexible; diagnostic
Primary diagnosis	J06.9 — Acute upper respiratory infection, unspecified
Denied amount	\$2,891.42
Denial code	CARC 204 / RARC N130 — This service/equipment/drug is not covered under the patient's current benefit plan.
Appeal deadline	2026-06-12

Dear Appeals Review Committee:

SUMMARY OF APPEAL

MUSC Health is submitting this formal appeal on behalf of patient Sylvia Mitchell (MRN: MUSC5493106, Member ID: SCD721545870) regarding the denial of Claim MUSC-20260404-28D8-1 for services rendered on April 4, 2026, at MUSC Health University Medical Center. The claim was submitted on April 7, 2026, for CPT 45378 (colonoscopy, flexible; diagnostic), billed at \$2,891.42, and was denied in full on May 13, 2026. South Carolina Medicaid (Healthy Connections / SCDHHS) issued the denial under CARC 204 — "This service/equipment/drug is not covered under the patient's current benefit plan" — with RARC N130 directing the provider to "consult plan benefit documents/guidelines for information about restrictions for this service," and a payer remark stating "Service is excluded under the member's plan benefit document." MUSC Health respectfully disputes this determination and requests full reconsideration and payment.

CLINICAL BACKGROUND

Ms. Mitchell is a 77-year-old female with an active coverage period under South Carolina Medicaid (Healthy Connections / SCDHHS) running from January 1, 2024, through December 31, 2026. Her documented active conditions include obesity (ICD-10 E66.9, onset 1992) and hyperlipidemia (ICD-10 E78.5, onset 1996), for which she has been maintained on Simvastatin 10 mg on a long-term basis. Her medical record reflects a prior colonoscopy performed on March 10, 2020, and an earlier colonoscopy on March 12, 2015, establishing a documented pattern of periodic colorectal surveillance. The April 4, 2026, procedure was performed by Marcus T. Bledsoe, DO (NPI 1770615243) in an on-campus outpatient hospital setting (Place of Service 22). Given Ms. Mitchell's age of 77 and her established history of prior colonoscopic examinations at clinically appropriate intervals, the performance of a diagnostic colonoscopy at this juncture is consistent with ongoing colorectal health monitoring in an elderly patient with relevant comorbidities.

BASIS FOR APPEAL

The denial as issued is insufficiently specific to permit a meaningful response or correction. CARC 204 and the accompanying payer remark assert only that the service is "excluded under the member's plan benefit document," without identifying the specific exclusion provision, the benefit category at issue, or any clinical or administrative criterion that was not met. South Carolina Medicaid is obligated under federal Medicaid law and SCDHHS policy to provide a clear and adequate explanation of any adverse benefit determination, including the specific reason for denial and the applicable coverage provision. The denial notice as received does not satisfy that standard.

Furthermore, CPT 45378 — a diagnostic flexible colonoscopy — is a recognized and reimbursable procedure under Medicaid fee-for-service programs for medically appropriate indications. Ms. Mitchell's age, her active obesity diagnosis coded as the secondary diagnosis on this claim, and her documented history of prior colonoscopies in 2015 and 2020 collectively support the medical appropriateness of this service. The rendering provider, Dr. Bledsoe, determined that the procedure was warranted, and nothing in the case record suggests that the service was experimental, duplicative, or otherwise categorically excluded. MUSC Health requests that SCDHHS identify with specificity the exclusion being applied so that the clinical record can be evaluated against the correct standard. If the denial is based on a coding concern — such as the primary diagnosis of J06.9 (acute upper respiratory infection) — MUSC Health is prepared to work with the treating provider to clarify the clinical documentation and, if appropriate, submit a corrected claim reflecting the diagnosis most directly related to the indication for the colonoscopy.

REQUESTED ACTION

MUSC Health respectfully requests that South Carolina Medicaid (Healthy Connections / SCDHHS) conduct a full review of this appeal and take one of the following actions: (1) reverse the denial and issue payment at the allowed amount of \$1,615.36 as established by the payer's own adjudication; or (2) provide a detailed written explanation identifying the specific benefit exclusion provision applied, the clinical or administrative basis for its application to this claim, and the criteria that would need to be satisfied for the service to be covered, so that MUSC Health may respond with targeted supporting documentation. This appeal is being submitted within the 30-day appeal deadline of June 12, 2026, and MUSC Health requests a written determination in accordance with SCDHHS appeal timelines.

Respectfully submitted,

Angela R. Whitfield, RN, BSN, CPC

Senior Appeals Specialist, Revenue Cycle Management
MUSC Health — Revenue Cycle / Patient Financial Services
(843) 792-2300 | muschealth.org

Enclosures

- Remittance advice / explanation of payment
- Itemized claim detail (UB-04 / CMS-1500)
- Relevant clinical documentation from the medical record